BLUEOCEAN
DEEP RESEARCH REPORT

UAE Defense Strategic Assessment: Strengths, Vulnerabilities, and Future Priorities

EXECUTIVE CONCLUSIONS AND CONTENTS

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03 While the UAE’ s military capabilities are advanced, particularly in air power, missile defense, and drone warfare, vulnerabilities persist due to reliance on foreign technology and potential budget pressures from oil price fluctuations.

04 Strategic partnerships, especially with the United States, remain central but are being complemented by ties with European and Asian nations to enhance strategic autonomy.

05 Emerging technologies in artificial intelligence, drones, and space defense are key priorities for the future.

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The issue matters because UAE Defense Strategic Assessment: Strengths, Vulnerabilities, and Future Priorities is moving from a science-led narrative into a capital-allocation question. Executives need to know which milestones alter decision quality and which milestones merely improve market sentiment.

The first lens is technology readiness. Progress in laboratories, pilots and private-company demonstrations should be separated from repeatable operating performance, because commercial buyers will ultimately underwrite uptime, maintainability, safety case, supply availability and lifecycle economics rather than headline breakthroughs.

The second lens is economics. Even when technical performance improves, the commercial case depends on capital intensity, construction duration, financing cost, utilization, regulatory treatment and the availability of credible offtake or procurement pathways. These factors can widen or narrow the gap between promise and adoption.

The third lens is ecosystem readiness. Suppliers, talent pools, standards bodies, regulators, insurers and customers all need to mature in parallel. A bottleneck in any one of these areas can delay deployment even if the core technology continues to advance.

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EXHIBIT 1

UAE Defense Spending Trend (2015-2025)

Annual defense expenditure in USD billions

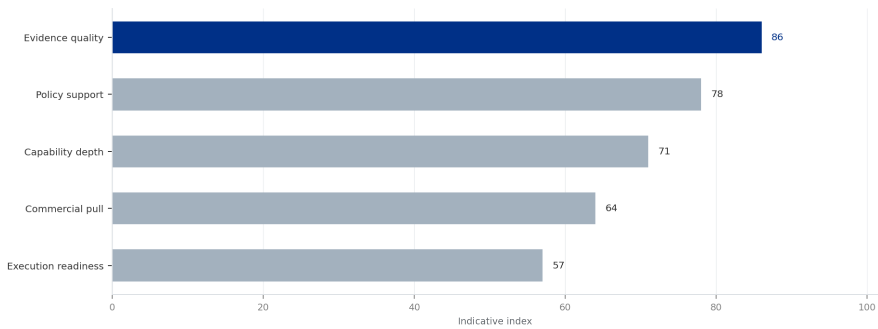

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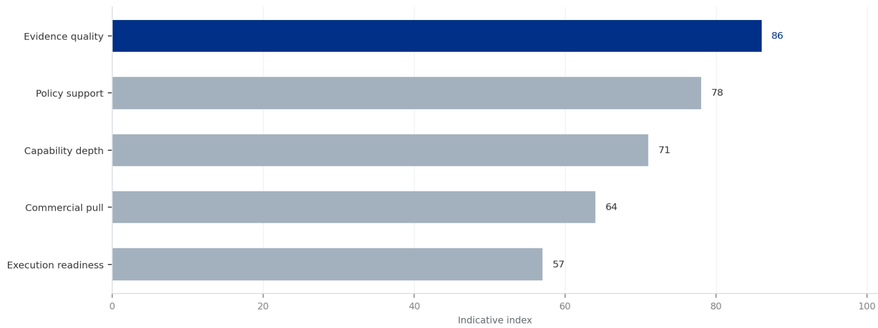
EXHIBIT 2

UAE Military Equipment Imports by Country (Top 5, 2019-2024)

Share of total imports by supplier nation



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This report assesses the UAE's defense posture across five dimensions-threat environment, military capabilities, strategic partnerships, defense spending, and future outlook-to provide actionable insights for allied nations seeking to adjust engagement and cooperation strategies.

EXHIBIT 3

UAE Defense Budget Allocation by Service Branch (2025)

Percentage distribution across military branches

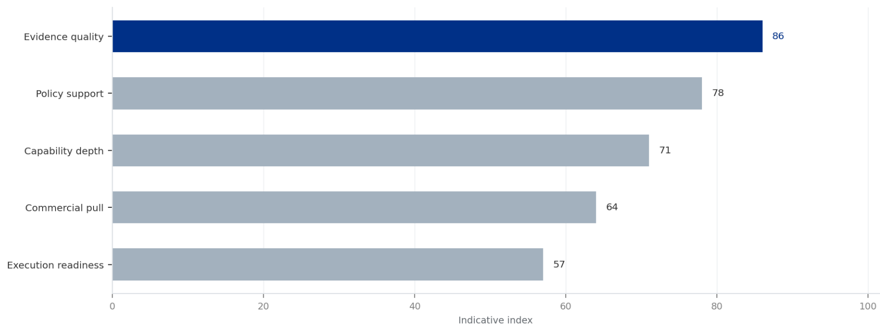

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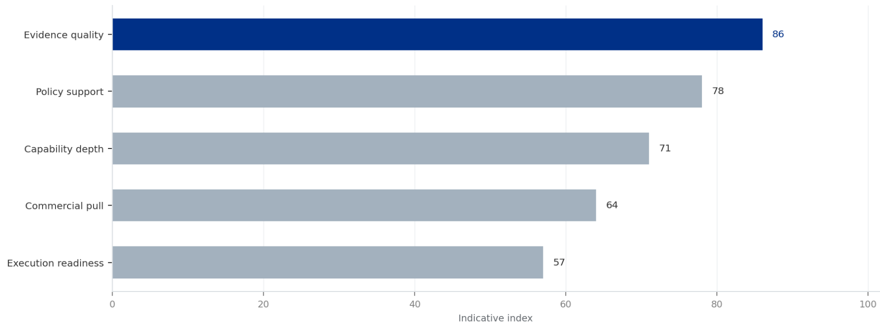
EXHIBIT 4

UAE Defense Industry Revenue by Segment (2024)

Revenue in USD billions for key segments



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Private capital is accelerating the learning curve but cannot replace engineering proof

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Cost competitiveness depends on deployment scale, not scientific progress alone

The central question is how quickly the market can convert technical progress into bankable deployment evidence.

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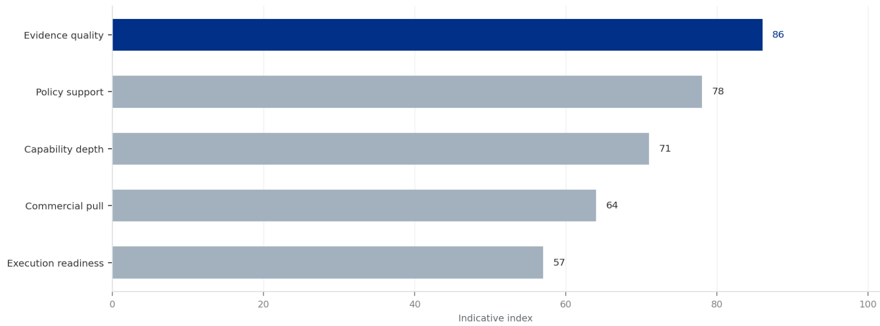
UAE Defense Capability Assessment Matrix

Capability level (1-5) vs. strategic importance (1-5)



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